

		\$110,000.00 for attorneys' fees; \$15,108.62 for litigation costs (after deducting unexplained \$750 "admin fee" and unsubstantiated \$2,900 "Berger Consulting Group" charge); \$7,750.00 for settlement administration costs; and \$20,000.00 total PAGA penalties (\$15,000.00 to the LWDA). Plaintiff is ordered to file and serve <u>by September 24, 2026</u> a declaration from the settlement administrator stating whether the administrator received any workweek disputes. If the administrator received any workweek disputes, the settlement administrator should explain the resolution of the dispute(s) and attach to the declaration copies of all documents relevant to the dispute(s). The final accounting hearing is scheduled for <u>September 16, 2027 at 9:00 a.m.</u> in Department CX105. Plaintiff shall submit a final accounting report at least 9 court days before the final accounting hearing regarding the status of the settlement administration. The final report must include all information necessary for the court to determine the total amount actually paid to class members and aggrieved employees and any amounts tendered to the State Controller's Office under the unclaimed property law. Plaintiff is ordered to give notice, including to the LWDA, and to file a proof of service.
8	Midnight v. Toyota Motor Sales, U.S.A., Inc. 2026-01546753	<u>Defendants Toyota Motor Sales, U.S.A., Inc. and Toyota Motor North America, Inc.'s Demurrer to Class Action Complaint</u> Defendants Toyota Motor Sales, U.S.A., Inc. and Toyota Motor North America, Inc. demur to the five causes of action in plaintiff Ryan Christopher Midnight's class action complaint. For the following reasons, defendants' demurrers are sustained in part and overruled in part. In ruling on a demurrer, a court must accept as true all allegations of fact contained in the complaint. <i>Blank v. Kirwan</i> (1985) 39 Cal.3d 311, 318. A demurrer challenges only the legal sufficiency of the affected pleading, not the truth of the factual allegations in the pleading or the pleader's ability to prove those allegations. <i>Cundiff v. GTE Cal., Inc.</i> (2002) 101 Cal.App.4th 1395, 1404-05. Questions of fact cannot be decided on demurrer. <i>Berryman v. Merit Prop. Mgmt., Inc.</i> (2007) 152 Cal.App.4th 1544, 1556. Because a demurrer tests only the sufficiency of the complaint, a court will not consider facts that have not been alleged in the complaint unless they may be reasonably inferred from the matters alleged or are proper subjects of judicial notice. <i>Hall v. Great W. Bank</i> (1991) 231 Cal.App.3d 713, 718 n.7. Plaintiff alleges claims individually and on behalf of a proposed class of consumers who paid out of pocket for the purchase, repair and/or replacement of batteries or other electric storage devices at a California Toyota dealership for a 2010 model year or later Toyota car that qualifies as a "Partial Zero Emissions Vehicle" (PZEV) or

was marketed by Toyota as a PZEV. Plaintiff alleges the battery in these vehicles should have been covered by an extended warranty of 10 years or 150,000 miles pursuant to Code of Regulations, Title 13, section 1962. Complaint ¶ 2. Plaintiff alleges “Toyota and its authorized dealerships have systematically refused to extend the warranty on Devices in vehicles that were PZEVs or that Toyota claimed were PZEVs,” and that instead of offering and honoring the extended warranty, defendants purportedly failed to inform customers of the extended warranty, told consumers the warranty did not apply to their vehicles, and/or told consumers they needed to pay out of pocket for the replacement of the battery devices within the extended warranty period. Complaint ¶ 3.

Plaintiff alleges “his Prius qualifies as a PZEV” (Complaint ¶ 30), and that defendants’ marketing states the “2014 Prius is certified as a Super Ultra Low Emission Vehicle (SULEV) and an Advanced Technology Partial Zero Emissions Vehicle (AT-PZEV) in California and in states applying California emission standards” (Complaint ¶ 30), and that the 2014 Prius’ “hybrid-related components, including the HV battery, battery control module, hybrid control module and inverter with converter are covered . . . [i]n applicable states [for] 15 years/150,000 miles with the exception of the hybrid battery, which is covered for 10 years/150,000 miles.” Complaint ¶ 31; see *also id.* ¶ 40 (“Toyota had publicly identified and marketed Plaintiff Midnight’s 2014 Prius as a PZEV, and therefore, it was entitled to coverage under the Mandate and Mandated Extended Warranty”).

Plaintiff alleges five causes of action: (i) unjust enrichment; (ii) fraud; (iii) negligent misrepresentation; (iv) violation of the Unfair Competition Law (UCL), Business and Professions Code § 17200 et seq.; and (v) violation of the False Advertising Law (FAL), Business and Professions Code § 17500 et seq.

Defendants assert plaintiff’s complaint fails to state facts sufficient to constitute a cause of action because plaintiff’s vehicle, a 2014 Prius C, is not a PZEV subject to the extended warranty. Defendants’ argument ignores the allegations of the complaint and the requirement that the court must accept as true the factual allegations of the complaint. *Blank*, 39 Cal.3d at 318. As stated above, plaintiff alleges his vehicle, a 2014 Prius C, “qualifies as a PZEV”; plaintiff also alleges Toyota has “publicly identified and marketed [p]laintiff Midnight’s 2014 Prius as a PZEV.” Defendants’ contentions that plaintiff’s 2014 Prius C is not a PZEV subject to the extended warranty, and that a “Prius C” is not the same car as a “Prius,” are factual disputes that cannot be resolved on demurrer.

Statute of limitations

Defendants contend a two-year statute of limitations applies to plaintiff’s negligent misrepresentation claim, and that because plaintiff did not sue until February 2026 (three years after plaintiff alleges he “began to experience problems” with his car “in or around early February 2023”), the negligent misrepresentation claim is time-barred. Defendants also argue plaintiff’s unjust

		enrichment, fraud and FAL claims, which are subject to a three-year limitations period, are time-barred. A two-year statute of limitations typically applies to a negligent misrepresentation claim. The applicable statute of limitations, however, depends on “the nature of the cause of action, i.e., the ‘gravamen’ of the cause of action.” <i>E-Fab, Inc. v. Accts., Inc. Servs.</i> (2007) 153 Cal.App.4th 1308, 1316. Here, the gravamen of plaintiff’s negligent misrepresentation claim is fraud. See, e.g., Complaint ¶¶ 83, 85. Civil Procedure Code section 338(d) provides that an action for fraud or mistake shall be commenced with three years after the discovery of the facts constituting fraud or mistake. See, e.g., <i>Broberg v. The Guardian Life Ins. Co. of Am.</i> (2009) 171 Cal.App.4th 912, 920 (“The limitations period for Powell’s fraud and negligent misrepresentation claims is three years. [Citation.] The limitations period begins to run only when the aggrieved party discovers “the facts constituting the fraud”) “When a ground for objection to a complaint, such as the statute of limitations, appears on its face or from matters of which the court may or must take judicial notice, a demurrer on that ground is proper.” <i>Duggal v. G.E. Capital Communications Services, Inc.</i> (2000) 81 Cal.App.4th 81, 86. “[J]udicial notice of matters upon demurrer will be dispositive only in those instances where there is not or cannot be a factual dispute concerning that which is sought to be judicially noticed.” <i>Cruz v. County of Los Angeles</i> (1985) 173 Cal.App.3d 1131, 1134. A demurrer based on a statute of limitations will not lie where the action may be, but is not necessarily, barred. <i>Lee v. Hanley</i> (2015) 61 Cal.4th 1225, 1232. In order for the bar to be raised by demurrer, the defect must clearly and affirmatively appear on the face of the complaint; it is not enough that the complaint shows that the action may be barred. <i>Id.</i> In addition, “[r]esolution of the statute of limitations issue is normally a question of fact.” <i>E-Fab, Inc.</i>, 153 Cal.App.4th at 1320. “More specifically, as to accrual, ‘once properly pleaded, belated discovery is a question of fact.’” <i>Id.</i> Here, the complaint does not clearly and affirmatively show on its face that the unjust enrichment, fraud, negligent misrepresentation and FAL claims are barred by the three-year statute of limitations. Plaintiff alleges that “[i]n or around early February 2023” his car “began to experience problems,” and that he thereafter made various efforts to have the alleged problems addressed. Complaint ¶¶ 37-39, 42-45. Plaintiff alleges that following these efforts he ultimately, “around the end of February 2023,” contacted defendants’ customer service by telephone, and was advised by a Toyota representative that plaintiff’s car “was out of the original warranty period, and so, if Plaintiff Midnight wanted the repairs, he would need to pay out of pocket for the purchase, replacement, and/or repair at one of Toyota’s dealerships.” Complaint ¶¶ 46-48. Plaintiff filed suit on February 9, 2026. ROA 2. The court cannot conclude that plaintiff’s allegations clearly and affirmatively show
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that the unjust enrichment, fraud, negligent misrepresentation and FAL claims are time-barred

First cause of action – unjust enrichment

The first cause of action alleges unjust enrichment. Plaintiff alleges defendants' misrepresentations allowed defendants to charge consumers for the repair or replacement of batteries that should have been covered under the extended warranty, causing defendants to earn profits to which they were not entitled, thereby unjustly enriching them. Complaint ¶¶ 65-68.

"The elements for a claim of unjust enrichment are 'receipt of a benefit and unjust retention of the benefit at the expense of another.' [Citation.] 'The theory of unjust enrichment requires one who acquires a benefit which may not justly be retained, to return either the thing or its equivalent to the aggrieved party so as not to be unjustly enriched.'" *Lyles v. Sangadeo-Patel* (2014) 225 Cal.App.4th 759, 769.

Some courts have held that unjust enrichment is not a cause of action (see *Levine v. Blue Shield of California* (2010) 189 Cal.App.4th 1117, 1138; *Durell v. Sharp Healthcare* (2010) 183 Cal.App.4th 1350, 1370), and other courts have recognized it as a cause of action (see *Peterson v. Cellco Partnership* (2008) 164 Cal.App.4th 1583, 1593; *Professional Tax Appeal v. Kennedy-Wilson Holdings, Inc.* (2018) 29 Cal.App.5th 230, 238; *Lyles*, 225 Cal.App.4th at 769).

In *Sepanossian v. National Ready Mixed Concrete Co.* (2023) 97 Cal.App.5th 192, the court found on a motion for judgment on the pleadings that where a plaintiff states a claim for violation of the UCL under the fraudulent and unfairness prongs, a claim for unjust enrichment is unnecessary:

"More fundamentally, '[b]ecause we have found that [Sepanossian's] remedies at law are adequate' (i.e., his count alleged under the UCL), a separate claim for restitution is unnecessary. (*Collins v. eMachines, Inc.* (2011) 202 Cal.App.4th 249, 260, 134 Cal.Rptr.3d 588 (*Collins*) [on review of a successful motion for judgment on the pleadings, where appellate court determined plaintiffs stated valid claims under the UCL, Consumers Legal Remedies Act, and fraud, "a claim for restitution, alleging that [defendant] has been unjustly enriched by its fraud, is unnecessary"].) 'This conclusion follows from the general principle of equity that equitable relief (such as restitution) will not be given when the plaintiff's remedies at law are adequate.' (*Ibid.*)

"Here, the gravamen of Sepanossian's unjust enrichment claim is that Ready Mix was unjustly enriched by customers paying fees that were fraudulent and unfair under the UCL, and that such customers are entitled to recover those fees from Ready Mix. The unjust enrichment claim merely incorporates the allegations, derivative of the UCL claim, that Ready Mix received a financial advantage—money obtained from misleadingly named fees charged to its customers—which it unjustly retained at their expense. Restitution

is already an available remedy under the UCL cause of action, within the broad equitable discretion of the trial court. (See § 17203 [restitution is available “to restore to any person in interest any money or property . . . which may have been acquired by means of such unfair competition”]; see also *In re Tobacco Cases II* (2015) 240 Cal.App.4th 779, 790, 192 Cal.Rptr.3d 881.) Thus, a separate claim is unnecessary for Sepanossian to recover restitution. ‘In light of the adequate legal remedies, we conclude the complaint does not state a claim for restitution based on unjust enrichment.’”

Sepanossian, 97 Cal.App.5th at 207-08.

Here, the gravamen of plaintiff’s unjust enrichment claim is that defendants were unjustly enriched by plaintiff and the putative class paying for repairs and/or replacement of car parts that should have been covered under the extended warranty, and that plaintiff and the putative class are entitled to recover the extra profits from defendants. Complaint ¶¶ 68-69. The unjust enrichment claim incorporates the allegations, derivative of the UCL and FAL claims, that defendants received a financial benefit—money obtained from repairs or replacement of parts that should have been covered under the extended warranty and thus free without charge—which they unjustly retained at plaintiff’s and the putative class members’ expense. The demurrer to the first cause of action for unjust enrichment is sustained with leave to amend.

Second and third causes of action – fraud and negligent misrepresentation

Defendants argue the fraud and negligent misrepresentation causes of action fail to state claims because plaintiff did not plead the claims with particularity.

The second cause of action alleges fraud by misrepresentation and fraud by concealment. The elements of a fraud by misrepresentation claim are: (i) misrepresentation, (ii) knowledge of the falsity or scienter, (iii) intent to defraud—that is, induce reliance, (iv) justifiable reliance, and (v) resulting damages. *Lazar v. Superior Ct.* (1996) 12 Cal.4th 631, 638. “In California, fraud must be pled specifically; general and conclusory allegations do not suffice.” *Id.* at 645. “This particularity requirement necessitates pleading facts which show how, when, where, to whom, and by what means the representations were tendered.” *Stansfield v. Starkey* (1990) 220 Cal.App.3d 59, 73.

The elements of a fraud by concealment claim are: “(1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage.” *Blickman Turkus*,

LP v. MF Downtown Sunnyvale, LLC (2008) 162 Cal.App.4th 858, 868.

Plaintiff alleges “[d]efendants, either directly or by way of their agents, made affirmative false and misleading statements regarding the classification of the Class Vehicles as PZEVs; and the applicability of the Mandate and the Mandated Extended Warranty to Plaintiff Midnight’s and Class Members’ Class Vehicles”; “[d]efendants had knowledge of the falsity of the facts in their misleading statements and/or omissions and/or concealments at the time they were made”; defendants “fraudulently omitted and concealed material facts regarding the true classification of Toyota vehicles and the applicability of the Mandate and the Mandated Extended Warrants to Plaintiff Midnight’s and Class Members’ Class Vehicles”; “[d]efendants owed Plaintiff Midnight and Class Members a duty to disclose the Mandate, whether their Class Vehicles were properly classified as PZEVs, were subject to the Mandated Extended Warranty period, and to inform Plaintiff Midnight and Class Members that they did not have to pay out-of-pocket for the purchase, replacement or repairs of any Class Vehicle Devices covered by the Mandated Extended Warranty”; “[d]efendants’ employees and agents were trained and encouraged to act in a fraudulent manner, such that when Plaintiff Midnight or any Class Member sought an explanation of the Mandate and its applicability to their Class Vehicles, Defendants made further misleading statements and omissions to further their fraudulent acts and convince Plaintiff Midnight and Class Members that they needed to pay out-of-pocket to purchase, replace, and/or repair their Class Vehicles’ Devices”; plaintiff “materially relied upon the statements, omissions, and concealment by paying out-of-pocket for the purchase, replacement, and/or repair of their Class Vehicles’ Devices, which no reasonable consumer would have paid if Defendants were honest about the Mandate and the true facts regarding the applicability of the Mandated Extended Warranty to their Class Vehicles”; and “[a]s a direct and proximate result of Defendants’ misleading statements and/or omissions, Plaintiff and Class Members were damaged.” Complaint ¶¶ 72-80, 84.

Plaintiff’s allegations are sufficiently specific to state a claim for fraud by misrepresentation and a claim for fraud by concealment.

The third cause of action alleges negligent misrepresentation. The elements of a negligent misrepresentation claim are: “(1) the misrepresentation of a past or existing material fact, (2) without reasonable ground for believing it to be true, (3) with intent to induce another’s reliance on the fact misrepresented, (4) justifiable reliance on the misrepresentation, and (5) resulting damage.” *Apollo Capital Fund LLC v. Roth Capital Partners, LLC* (2007) 158 Cal.App.4th 226, 243. “[T]he causal elements, particularly the allegations of reliance, must be specifically pleaded.” *Id.*

Plaintiff alleges “[t]hrough their communications with Plaintiff Midnight and Class Members, and in the course of their regular business, Defendants made representations and/or omissions to Plaintiff Midnight and Class Members of material facts concerning

the true classification of the Class Vehicles, the Mandate, and the Mandated Extended Warranty and Devices," i.e., that the extended warranty did not apply to plaintiff's vehicle, and that "if Plaintiff Midnight wanted the repairs and to replace his battery, he would need to pay out of pocket." Complaint ¶¶ 42-45. Plaintiff further alleges defendants made the representations "without reasonable grounds for believing them to be true"; that defendants made the representations "with the intent to induce Plaintiff Midnight and Class Members into paying for the purchase, replacement or repairs of the Class Vehicle Devices"; that plaintiff "did justifiably and reasonably rely on Defendants' representations and omissions" as plaintiff "would not have paid for the purchase, replacement or repairs of the Class Vehicle Devices without such statements and/or omissions made by Defendants and if they knew the Devices would be replaced without cost to Plaintiff Midnight and Class Members"; and as a result, plaintiff "lost monies [he] overspent on the PZEVs Devices." Complaint ¶¶ 83-91.

Plaintiff's allegations are sufficiently specific to state a claim for negligent misrepresentation.

Defendants' demurrers to the second and third causes of action are overruled.

Fourth and fifth causes of action – violation of UCL and FAL

The fourth cause of action alleges violation of the UCL, Business & Professions Code section 17200 et seq. The UCL prohibits "any unlawful, unfair or fraudulent business act or practice and unfair, deceptive, untrue or misleading advertising." The UCL's scope is broad and does not proscribe specific practices, but defines "unfair competition" to include "any unlawful, unfair, or fraudulent business act or practice." *Cel-Tech Communications, Inc. v. Los Angeles Cellular Telephone Co.* (1999) 20 Cal.4th 163, 180. Because the statute is written in the disjunctive, there are three varieties of unfair competition: (1) unlawful acts or practices; (2) unfair acts or practices; and (3) fraudulent acts or practices. *Id.*

The fifth cause of action alleges violation of the FAL, Business and Professions Code § 17500 et seq. The FAL makes it unlawful "for any person, firm, corporation or association, or any employee thereof with intent directly or indirectly to dispose of real or personal property or to perform services, professional or otherwise, or anything of any nature whatsoever or to induce the public to enter into any obligation relating thereto, to make or disseminate or cause to be made or disseminated before the public in this state, or to make or disseminate or cause to be made or disseminated from this state before the public in any state, in any newspaper or other publication, or any advertising device, or by public outcry or proclamation, or in any other manner or means whatever, including over the Internet, any statement, concerning that real or personal property or those services, professional or otherwise, or concerning any circumstance or matter of fact connected with the proposed performance or disposition thereof, which is untrue or misleading, and which is known, or which by the exercise of reasonable care

should be known, to be untrue or misleading, or for any person, firm, or corporation to so make or disseminate or cause to be so made or disseminated any such statement as part of a plan or scheme with the intent not to sell that personal property or those services, professional or otherwise, so advertised at the price stated therein, or as so advertised.” Bus. & Prof. Code § 17500.

Defendants argue plaintiff lacks standing to bring a UCL or FAL claim because plaintiff did not allege he relied on any statements about the PZEV-specific 10 year/150,000 mile warranty in purchasing his vehicle in 2014, and that any such reliance was in any event unreasonable. Brief (ROA 27) 9:11-13, 9:19-21.

Plaintiff’s claims, however, rest on the out-of-pocket expenses plaintiff claims he incurred because defendants told him the extended warranty did not apply to his car, not on the purchase price of the car. Plaintiff alleges “Toyota had publicly identified and marketed Plaintiff Midnight’s 2014 Prius as a PZEV, and therefore, it was entitled to coverage under the Mandate and Mandated Extended Warranty”; and that “[a]ware of the Mandate and Mandated Extended Warranty, Plaintiff Midnight thought Toyota should have to replace the battery at no cost to Plaintiff Midnight.” Complaint ¶¶ 40-41. Plaintiff also alleges he informed several Toyota dealerships about the extended warranty, but was told the extended warranty did not apply, and that Longo Toyota told plaintiff that if he “wanted the repairs and to replace his battery, he would need to pay out of pocket.” *Id.* ¶¶ 42-45. Plaintiff alleges he called defendants’ customer service number and was told by a Toyota customer service representative that the extended warranty did not apply, and that if plaintiff wanted the repairs, he would have to pay out of pocket for the purchase, replacement and/or repair of the battery for his vehicle. *Id.* ¶ 46-48. Plaintiff alleges that based on the representations of Toyota customer service and the various Toyota dealerships, he “agreed to pay Santa Margarita Toyota approximately \$5,000 out of pocket to replace his 2014 Prius’ batter.” *Id.* ¶ 49. These allegations are sufficient at this juncture to establish plaintiff’s standing to pursue the UCL and FAL claims.

Defendants also argue plaintiff’s reliance “on the press release in deciding to purchasing his Prius C” was unreasonable. Brief (ROA 27) 10:4-6. This argument is unpersuasive for the reasons stated above. Moreover, the reasonableness of plaintiff’s alleged reliance is a factual dispute that cannot be resolved on demurrer. See *Cicone v. URS Corp.* (1986) 183 Cal.App.3d 194, 205 (“Whether reliance is justified is a question of fact for the determination of the trier of fact”).

Defendants’ contention plaintiff “sustained no injury in fact, and suffered no loss of money or property” is also unpersuasive. Plaintiff alleges that “[b]ased on the representations of Toyota; Longo Toyota; and Santa Margarita Toyota” that the extended warranty did not apply, plaintiff “agreed to pay Santa Margarita Toyota approximately \$5,000 out of pocket to replace his 2014

		Prius' battery," a service that "should have been covered free of charge. Complaint ¶ 49; see also <i>id.</i> ¶¶ 27, 43, 111. Defendants' demurrers to the fourth and fifth causes of action are overruled. Defendants' unopposed Request for Judicial Notice (ROA 32) of Exhibits 1 and 2, which are copies of two executive orders from the California Environmental Protection Agency Air Resources Board, is granted, although neither document was material to the disposition of the demurrer for the reasons state above. Defendants' Request for Judicial Notice of Exhibit 3, a purported October 16, 2013 press release, is denied, although the document was not material to the disposition of the demurrer for the reasons stated above. Should plaintiff desire to amend the complaint to address the deficiencies identified above, plaintiff must file and serve the amended complaint by October 1, 2026. Plaintiff to give notice. <u>Status Conference</u> The court has reviewed the parties' joint status conference statement filed September 9, 2026 (ROA 42), and based thereon continues the September 17, 2026 status conference to <u>January 21, 2027 at 9:00 a.m.</u> in Department CX105. The parties are ordered to file a joint status conference statement at least 5 court days before the hearing. Clerk to give notice.
9	Padilla v. De Vries International, Inc. 2021-01223097	<u>Plaintiff's Motion for Preliminary Approval of Class Action and PAGA Settlement</u> The court has reviewed and considered the papers, including the supplemental papers, filed in support of plaintiff's motion for preliminary approval of a \$195,000 class action and PAGA settlement. Subject to plaintiff's submission of the documents described below, the court grants the motion as follows: \$5,000 for enhancement award to plaintiff (not to exceed); \$58,500 for attorneys' fees (not to exceed); \$20,000 for attorneys' costs (not to exceed); \$6,000 for settlement administration fees (not to exceed); and \$10,000 total PAGA penalties (\$7,500 to LWDA). Plaintiff is ordered to file and serve <u>by September 24, 2026</u> a revised class notice (in English and Spanish) that removes the reference in the last sentence of the first paragraph of the "Further Information" section to viewing documents "at the Orange County Superior Court located at 751 West Santa Ana Boulevard, Santa Ana, California 92701." As the court previously advised the parties